

KCSE BUSINESS STUDIES FORM 3 MOCKS

Kenya Certificate of Secondary Education (K.C.S.E.)

FORM 3 BUSINESS STUDIES PAPER 1&2

EXAM 1-10

EXAM 1

1. Identify four factors that influence the level of capital of a business enterprise. (4 marks)
2. Give four features of economic resources (4 marks)
3. Indicate with a tick(✓) in the appropriate column the business environment associated with each of the factors mentioned below. (4 marks)

	FACTOR	INTERNAL	EXTERNAL
i)	Government policy		
ii)	Technological environment		
iii)	Financial resources		
iv)	Firm structure		

4. State four reasons why people engage in business activities. (4 marks)
5. Outline four tools used by the government to influence the quantity of a product supplied in a market. (4 marks)
6. Highlight four factors that may be used to determine the size of a firm (4 marks)
7. Indicate by writing the word "TRUE" or "FALSE" against the statement describing characteristics for goods and services. (3 marks)

	STATEMENT	TRUE or FALSE
a)	Goods are inseparable from their producers	
b)	Services can be standardized in form of size, appearance or quality	
c)	Services are experienced not owned	
d)	Goods are not always perishable	
e)	Services are highly perishable	
f)	Goods can change in value overtime	

8. The central bank is a banker to the government. Outline four banking services it provides to the Kenya government. (4 marks)
9. The following are types of advertising: Product advertising, competitive advertising, informative advertising and institutional advertising. In the table below, match each type with its appropriate description. (4 marks)

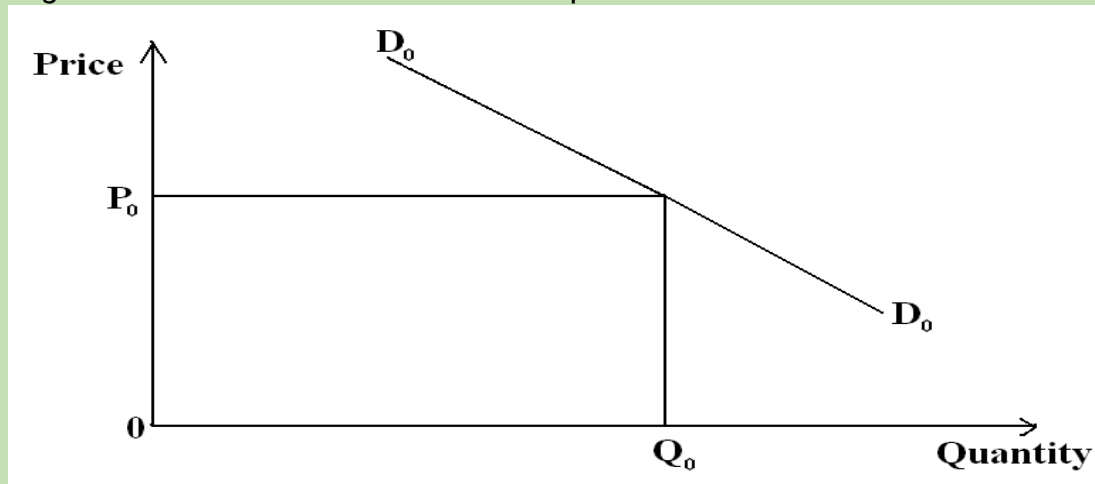
	TYPE OF ADVERTISING	DESCRIPTION
a)		Promotes the name of the manufacturer
b)		Persuades the consumers to buy a product
c)		Creates awareness about a product
d)		Promotes a particular brand of a product

10. Outline four barriers to written communication. (4 marks)
11. For each of the following cases, name the motive for holding money. (4 marks)

	CAES	MOTIVE
a)	To meet daily bus fare expenses	

b)	To meet unexpected medical emergencies	
c)	To stock maize when prices fall	
d)	To meet daily food requirements	

12. The diagram below shows the current demands for petrol.



- a) What is the effect of an increase in the price of cars on demand for petrol. (2 marks)
b) Draw a new demand curve on the diagram above to show the effect of an increase in price of cars. (2 marks)
13. State four reasons why few Kenyans take out life assurance policies. (4 marks)
14. For each of the transactions given below, indicate in the appropriate column, the source documents and the book of original entry in which the transaction is recorded. (4 marks)

	Transaction	Book of original entry	Source document
a)	Sale of tables on credit		
b)	Purchase of stock on credit		
c)	Goods returned by a customer		
d)	Payment to a creditor		

15. Outline four sources of a business idea. (4 marks)
16. Write down the international trade document that relate to each of the following statements

	STATEMENT	DOCUMENT
a)	Indicate the country of origin of the imported goods	
b)	A document of title to the goods traded in international trade	
c)	Used to demand for payment before delivery of goods	
d)	Facilitated an importer to obtain credit	

17. The financial period of Buteba Traders ends on 31st December every year. On 31st December 2011 the

business had the following assets and capital.

Item	Sh.
Capital	24,000
Stock of goods	1,500
Debtors	2,000
Machinery	20,000
Cash	4,000

Required:

Calculate the total liabilities and prepare a balance sheet as at 31st December 2011. (4 marks)

18. Highlight four circumstances under which a country may be classified as underdeveloped. (4 marks)
19. Record the following transactions in the cash book of Jerussa Entreprises for the month of January 2011 and balance it off.
- 2011
- Jan. 1: Cash in hand sh. 10,000, cash at bank sh. 20,000
- Jan. 10: Paid Luke Sh. 8,800 and Joan sh. 11,000 after deducting 12% cash discount in each case by cheque
- Jan. 30: Banked all the cash leaving sh. 1,200 in the cash box. (5 marks)

JERUSSA ENTREPRISES
CASHBOOK FOR JANUARY, 2011

[illegible]

20. State four benefits that consumers get from small scale retailers. (4 marks)
21. The following information was obtained from the books of Okame Traders on 30th June 2011.
- | | |
|---------------|-------|
| Opening stock | 8,000 |
|---------------|-------|

Purchases	53,000
Sales	62,900
Returns outwards	2,700
Closing stock	12,700

Prepare Okame Trading Accounts for the year ended 30th June 2011. (4 marks)

22. The following balances were extracted from the books of Mwambo wholesalers for the year ended 31st December, 2005.

Sales	500,000
Purchases	320,000
Opening stock	80,000
Closing stock	40,000
Debtors	140,000
Creditors	90,000

Calculate

- Margin
- Current ratio
- Rate of stock turn over

(4 marks)

23. The following statistics refer to a hypothetical economy. Use it to calculate the per capita income using the income approach. (4 marks)

	(Ksh in millions)
Total profits by entrepreneurs	80,0000
Total rent received by landlords	130,000
Total interests earned by financial institutions	40,000
Total salaries paid by employees	-50,000
Total population	40

24. Give four features that differentiate a public corporation from a public limited company. (4 marks)
25. Highlight four undesirable effects of inflation to the Kenyan economy (4 marks)

PAPER 2

- Explain **five** benefits that would accrue to a businessman who uses a Liner rather than Tramps Steamers. (10mks)
 - Using a diagram, describe the effects of outward shift in supply curve on equilibrium price and quantity. (10mks)
- Explain **four** measures that may be taken by the government to promote her export. (8mks)
- Explain **Five** circumstances under which a manufacturer would find it advisable to distribute his goods through wholesalers. (10mks)
 - Explain **five** functions of the central bank of Kenya in the Economy. (10mks)
- Distinguish between shares and debenture as a source of finance. (10mks)
 - Outline five circumstances under which a firm will be located near the market for its products.
 - Explain **five** ways in which the Entrepreneur contributes to the production of goods. (10mks)
- Describe **five** means of payment that a trader may use to settle business debts. (10mks)

b) Explain **five** indicators of under development in Kenya.

(10mks)

EXAM 2

PAPER 1

1. Highlight **four** functions of a producer co-operative society.

(4 marks)

2. State **four** disadvantages of face to face communication.

(4 marks)

3. Outline **four** factors that may be considered when buying a machine to be used in a firm (4 marks)

4. Highlight **four** characteristics of life Assurance policy.

(4 marks)

5. Identify the type of utility created in the following activities.

(4 marks)

	Activity	Type of utility
a)	Keeping money in the bank	
b)	Making uniform for students	
c)	Selling bread to a student	
	Delivering milk to a customer	

6. Highlight **four** factors that may lead to decline in birth rates.

(4 marks)

7. State **four** characteristics of a promissory note.

(4 marks)

8. Highlight **four** characteristics of public limited company.

(4 marks)

9. Outline **four** reasons why direct production is still common in Kenya.

(4 marks)

10. Identify the type of office machine/equipment from the following descriptions.

(4 marks)

	Description	Office machine/equipment
a)	Used for cutting unwanted papers into tinny pieces to destroy them	
b)	Used for trimming papers to the required sizes	
c)	Used to make holes in papers or documents to facilitate filing them	
d)	Used for printing postage impression on envelopes	

11. Outline **four** circumstances under which a credit Note may be issued.

(4 marks)

12. State **four** circumstances that would make one to hire a hand-cart to carry goods instead of a pick-up (4 marks)

13. Susan Kiprotich has just completed her university studies and has decided to venture into business. Highlight **four** factors she will consider when deciding on the type of office layout she would have.

(4 marks)

14. Outline **four** factors to consider when giving out credit to customers.

(4 marks)

15. Highlight **four** factors that may lead to business failure.

(4 mark

16. Janet had stock valued at sh. 1,000,000. She insured her stock at sh. 800,000 against loss by fire. Sometimes later, fire occurred and destroyed part of the stock valued at sh. 200,000. Calculate the amount Janet should get from the insurer as compensation.

(4 marks)

17. Outline **four** advantages of delocalization. (4 marks)

18. State **four** differences between sole proprietorship and partnership. (4 marks)

Sole proprietorship	Partnership

19. Identify the home trade document from the following descriptions. (4 marks)

	Description	Home trade document
a)	Issued by the seller to inform the buyer that the amount payable has been increased.	
b)	Issued by the seller to the buyer before goods are delivered showing how the invoice would look like if the buyer buys the goods.	
c)	Issued by seller to buyer as proof that payment has been made.	
d)	Issued when the seller hires a transporting company to carry the goods to the buyer.	

20. Highlight **four** means of communication.. (4 marks)

21. Outline **four** factors to consider when locating a warehouse. (4 marks)

22. State **four** government initiated methods of protecting consumers from exploitation by businesses.

23. Highlight **four** advantages of a bonded warehouse to the government. (4 marks)

24. Highlight the disadvantages of partnership (4mks)

25. State four benefit of using social media to business person. (4mks)

PAPER 2

- Explain **five** ways in which the size of a firm may be determined. (10 marks)
 - Explain **five** ethical issues in product promotion. (10 marks)
- Explain **five** ways in which the price of a product may be determined in the market. (10 marks)
 - With the help of a diagram explain the circular flow of income in a two sector economy. (10 marks)
- Explain **five** reasons that contribute to the existence of small firm. (10 marks)
 - Explain **five** characteristics of human wants. (10 marks)
- Explain **five** benefits associated with operating a tied shop. (10 marks)
 - Explain **five** ways in which the nature of goods would influence the choice of transport. (10 marks)

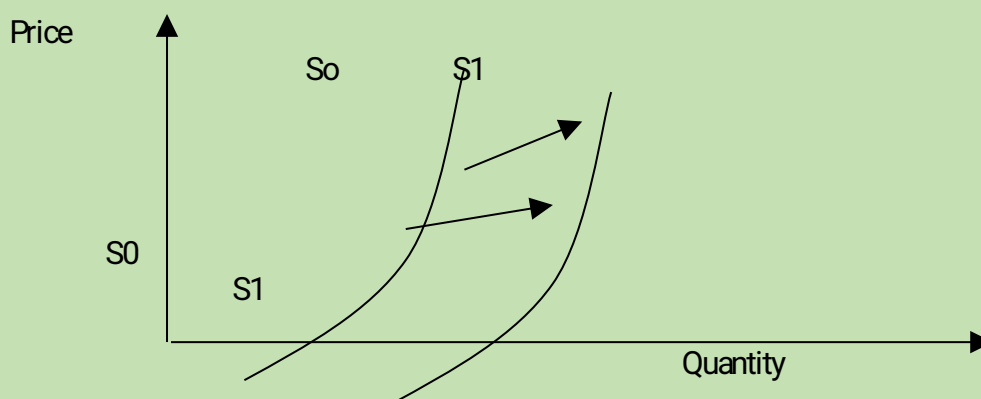
5. a) Explain **five** reasons why a firm would prefer to operate its own warehouse. (10 marks)
 b) Explain **five** types of wholesalers. (10 marks)
6. a) Explain **five** factors to consider when selecting office equipment. (10 marks)
 b) Explain **five** main essentials elements of effective communication. (10 marks)

EXAM 3 PAPER 1

1. Indicate with a tick (✓) in the spaces provided below, whether each of the resources is renewable or non-renewable. (4 marks)

Resources	Renewable	Non-renewable
a) Hydro electric power		
b) Oil		
c) Soda-ash		
d) Gold		

2. The diagram below shows a shift in supply curve



- Highlight **four** factors that may have caused the shift. (4 marks)
3. State **four** ways in which a society benefits from indirect production. (4 marks)
4. Outline **four** characteristics of a monopoly market. (4 marks)
5. Highlight **four** merits of government involvement in business. (4 marks)
6. State **four** barriers to written communication. (4 marks)
8. Give **four** reasons that may influence a manufacturer /producer to sell goods directly to Consumers (4 marks)
9. State **four** ways in which the “nature of goods” would influence the choice of transport. (4 marks)
10. Classify each of the following activities as either primary, secondary or tertiary levels of Production. (4 marks)

Activity	Level of production
a) Planting maize	
b) Grinding maize	
c) Selling maize	
d) harvesting maize	

11. Highlight **four** ethical issues in product promotion (4 marks)
12. Outline **four** ways in which the size of a firm may be determined (4 marks)
13. Highlight **four** differences between ordinary shares and preference shares. (4 marks)
14. Outline **four** factors to consider when selecting a means of reproducing documents. (4 marks)
15. Highlight **four** benefits associated with operating a tied shop. (4 marks)
16. Outline **four** similarities between a Bill of exchange and a promissory Note. (4 marks)
17. State **four** features of large scale retailers. (4 marks)
18. Highlight **four** measures that can be taken to solve unemployment problems (4 marks)

19. Highlight **four** disadvantages of Delocalization of firms. (4 marks)
20. Outline **four** uses of National income statistics. (4 marks)
21. Identify the Home Trade document from the following description (4 marks)

Description	Document
a) Issued by the seller to inform the buyer that the amount payable has been increased	
b) Issued as proof that payment has been made	
c) Issued when the seller hires a transporting company to carry goods to the buyer	
d) Issued by seller to inform the buyer that the goods have been dispatched	

22. Highlight **four** characteristics of General insurance. (4 marks)
23. Outline **four** features of a Bonded warehouse. (4 marks)
24. State **four** disadvantages of face to face conversation. (4 marks)
25. Highlight **four** reasons that would make an organization prefer to operate an enclosed office layout (4 marks)

PAPER 2

1. a) Explain **five** advantages of personal selling as a method of product promotion. (10 marks)
- b) Explain **five** circumstances under which business persons would prefer to use letters rather than telephone when communicating with their suppliers. (10 marks)
2. a) The table below shows the population and gross domestic products figures for countries X and y

Country	Population	G.D.P (shs)
X	4 million	4,000,000,000
Y	3 million	9,000,000,000

Required

- i) Calculate the per capita income for each of the **two** countries. (5 marks)
- ii) Explain **three** limitations of per capital income in measuring the standards of living. (5 marks)
- b) Explain **five** reasons why some businesses would prefer to operate their own warehouses. (10 marks)
3. a) Outline **five** differences between a public company and a parastatal. (10 marks)
- b) Explain **five** factors that may affect a shift in demand curve to the left (10 marks)
4. a) Explain five advantages of Hire Purchase to the buyer. (10 marks)
- b) Explain **five** roles played by intermediaries in the distribution of goods. (10 marks)
5. a) Explain any **five** documents used in Home Trade. (10 marks)
- b) Explain **five** advantages of delocalization of business firms. (10 marks)
6. a) Explain **five** factors to be considered when determining premiums to be charged by an insurance companies. (10 marks)
- b) Explain **five** reasons that would make one to use railway transport. (10 marks)

EXAM 4

PAPER 1

1. State four reasons why a business organization need to prepare a business plan (4mks)
- (i).....
- (ii).....
- (iii).....
- (iv).....
2. Indicate in the spaces provided the type of warehouse with each of the description stated below (4mks)

- (i) Individuals can hire storage facilities
- (ii) used to store tax-type goods originating from within or outside the country.....
- (iii) Used for storage of specialised goods.....
- (iv) used for the storage of locally produced goods until excise duty is paid.....
3. The figure below shows a shift in the supply curve of a given commodity

Outline four factors that may have caused the shift in the supply curve from SoSo to S1S1(4mks)

- (i).....
- (ii).....
- (iii).....
- (iv).....

4. Enter the following transactions in a cash book of Mwilala Traders for month of January 2012(5mks)

JAN 1ST – Cash Ksh. 10000 and cash at bank Ksh. 35,000(Cr)

Jan 2nd –Sold goods worth Ksh. 20,000 in cash

Jan 3rd – Received a cheque of Ksh 20,000 in cash

Jan 4th -Paid the following accounts by cheque Sammy ksh. 15000, Okalo Ksh.3000. George Ksh.150000, , Rama Ksh.26000 after deducting 10% discounts in each case

Jan 5th Took Ksh. 30,000 from cash till to the bank

Cash book

Date	detail	F	Dics all	Bank Ksh	Date	detail	F	Disc received	Cash Ksh	Bank Ksh
2012					2012					

5. Highlight four benefits of commercial production to the economy (4mks)

- (i).....
- (ii).....
- (iii).....
- (iv).....

6. Identify the principle of insurance referred to by the following statements (4mks)

Statement	Principle of insurance
(i) Incase the insured insure with two or more companies at the time of compensation the insure will share the loss	
(ii) Whatever remains of the insured property after the insured is fully compensated belongs to the insured	
(iii) The property insured must have a direct bearing to	

the insured	
(iv) Compensation is only paid up to the maximum of real loss suffered	

7. Enter the following transactions in the relevant ledger accounts of Mumia Traders for the month of April 2013 (4mks)

April 3rd – Purchased goods on credit from Tabwa Wholesalers for Ksh. 50,0000

April 4th – Withdrew Ksh. 20,000 from bank for business use

April 5th -Purchased stationery for Ksh. 1000 in cash

April 6th –paid Tabwa wholesalers Ksh.3000 by cheque

8. State four functions of a personal Secretary in an organization (4mks)

(i).....

(ii).....

(iii).....

(iv).....

9. In view of promulgation of new constitution devolved system of government was created, identify four measures that a country governor can take in order to attract investors to start and ran their business in their country. (4mks)

(i).....

(ii).....

(iii).....

(iv).....

10. Give four differences between Public limited companies and public corporation (4mks)

Public limited companies	Public corporation
(i)	(i)
(ii)	(ii)
(iii)	(iii)
(iv)	(iv)

11. High four features of Oligopoly (4mks)

(i).....

(ii).....

(iii).....

(iv).....

12. In the spaces provided in the tables below, name the document Mumias Limited Company would issue under circumstances described below

Circumstance	Document to issue
(i) Mumias Ltd sold goods worth Ksh. 100,000 on credit to Mama Watotto supermarket	
(ii) Kukhu Traders paid Ksh. 54000 by Cheque to Mumias Ltd for goods which had been supplied	
(iii) Asamwa Enterprises which had bought goods worth Ksh.17000 was erroneously charged for only Ksh. 15000/=	
(iv) Goods sold to Mama Watoto Supermarket had	

been Overpriced by Ksh. 4000

13. Vision World Limiter bought Passat a saloon car worth Ksh. 2000 000 on 28th Feb 2013. This car was insured to two companies, Bluee shield limited and Ama co Insurance Limited for Ksh. 1800 0000 and Ksh 1600 000 respectively. In August 30th 2013 the car was involved in an accident and suffered a partial damage of 20%. Calculate compensation made by each insurance company to cover the loos (4mks)

14. State four reasons why Magadi Soda exporters choose to transport this product by railway rather than by road (4mks)

(i).....
(ii).....
(iii).....
(iv).....

15. The following information was obtained from the records of Jupiter Traders a at 31st July 2012

	Ksh
Furniture and fittings	20000
Stock	5000
Creditors	7000
Cash at bank	12000
Debtors	3000
Long term loan	10,000
Required: Determine the amount of capital	

(4mks)

16. Outline three circumstance underwhich downward communication may used (3mks)

(i).....
(ii).....
(iii).....
(iv).....

17. Outline four circumstances under which cash payment is appropriate (4mks)

(i).....
(ii).....
(iii).....
(iv).....

18. Identify four chanel for distributing Kenyan flowers to Europe (4mks)

(i).....
(ii).....
(iii).....
(iv).....

19. Outline four challenges that Europe facing as a result of Agency population (4mks)

(i).....
(ii).....
(iii).....
(iv).....

20. Give four resaons why the government of Kenya issue trading licences to all businessmen (4mks)

(i).....
(ii).....
(iii).....

21. Highlight four ways in which a computer may be used in an office (4mks)
- (iv).....
- (i).....
- (ii).....
- (iii).....
- (iv).....
22. Indicate with a tick (✓) whether the following factors refer to injections to or withdrawal from the National income of a country with a two-sector economy (4mks)
- | Factors | Injections | Withdrawal |
|---|------------|------------|
| (i) Government taxation on business incomes | | |
| (ii) Firm's investments in capital equipments | | |
| (iii) Country's export to earn revenue | | |
| (iv) Household savings for future rise | | |
23. Outline four negative effects of production on the environment (4mks)
- (i).....
- (ii).....
- (iii).....
- (iv).....
24. In the table below identify factors of production for each of the following reward (4mks)
- | | Rewards |
|--|---------------------|
| | -rent |
| | -wages and salaries |
| | -profit |
| | -interest |
25. Highlight four benefits of hire purchase to a buyer of goods (4mks)
- (i).....
- (ii).....
- (iii).....
- (iv).....

PAPER 2

1. (a) Describe **five** differences between open plan and portioned office layout (10mks)
- (b) Explain **five** advantages of using credit cards as a means of payment (10mks)
2. (a) Explain **five** characteristics of human wants (10mks)
- (b) The following balances were extracted from the books of Wendo Traders on 31st July, 2013

Ksh	
Stock	28,000
Bank overdraft	15,000
Machinery	30,000
Cash in hand	4,000
Creditors	26,000
Furniture	2,000
Debtors	26,000
Motor vehicle	70,000
Premises	120,000

Loan from equity Ltd 140,000

Rent not yet paid 5,000

Prepare a balance sheet from the above information showing

(i) Fixed assets

(ii) Current Assets

(iii) Current liabilities

(iv) Long-term liabilities

(10mks)

3. (a) Discuss **five** factors that may promote entrepreneurship in Kenya

(10mks)

(b) With the aid of a diagram, explain the effect of an increase in demand when the supply of a commodity remain constant.

(10mks)

4. (a) Discuss **five** factors that may lead to a low level of national income of a country

(10mks)

(b) Describe **five** types of ledgers

(10mks)

6. (a) Give **five** types of unemployment in an economy and explain the cause for each

(10mks)

(b) Discuss **five** measures that the government may take to encourage the setting up of industries in rural areas

(10mks)

EXAM 5

PAPER 1

1. State four factors that constitute the internal environment of a business.

(4marks)

(a)

(b)

(c)

(c)

2. Outline two differences between a bonded warehouse and a private warehouse.

(4marks)

(a)

.....

(b)

.....

3. Outline four after-sale services that a trader can offer to his customers.

(4marks)

(a)

(b)

(c)

(c)

4. State the three types of economic resources, giving an example in each case.

(4marks)

Economic resource	Example

5. State four characteristics of land as a factor of production.

(4marks)

(a)

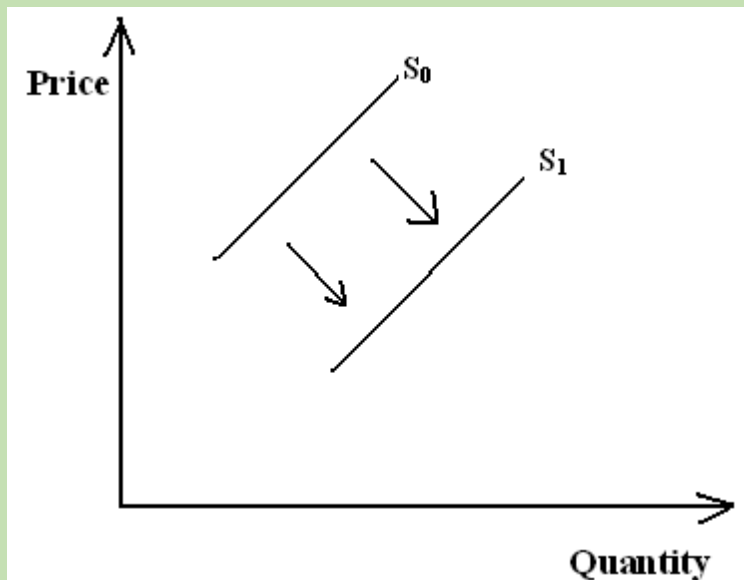
(b)

(c)

(c)

6. The following diagram shows a shift in supply curves from S_0 to S_1 . State four factors that would have caused the shift.

(4marks)



- (a)
 (b)
 (c)
 (c)
7. State four positive effects of globalization on business today. (4marks)
- (a)
 (b)
 (c)
 (c)
8. Outline four conditions which must be met in order for an insurance contract to be valid. (4marks)
- (a)
 (b)
 (c)
 (c)
9. Outline four limitation of the circular flow of income. (4marks)
- (a)
 (b)
 (c)
 (c)
10. Outline four ways in which consumers benefit when producers compete in product promotion. (4marks)
- (a)
 (b)
 (c)
 (c)
11. State the unit of carriage for each of the following modes of transport. (4marks)
- | <u>Mode of transport</u> | <u>Unit of carriage</u> |
|--------------------------|-------------------------|
| (a) Portage | |
| (b) Sea | |
| (c) Road | |
| (d) Air | |
12. Outline four characteristics of human wants. (4marks)
- (a)
 (b)
 (c)
 (c)
13. State four ways through which the government may create an enabling environment for business in the country.

(4marks)

- (a)
- (b)
- (c)
- (c)

14. State four reasons why modern government offices have adopted the open plan office layout as opposed to the enclosed plan layout. (4marks)

- (a)
- (b)
- (c)
- (c)

15. Give four circumstances under which a business would sell through CWO (cash with order) basis.

(4marks)

- (a)
- (b)
- (c)
- (d)

16. Outline four negative effects of HIV on business activities.

(4marks)

- (a)
- (b)
- (c)
- (c)

17. State four reasons why a government would regulate business.

(4marks)

- (a)
- (b)
- (c)
- (c)

18. Outline four circumstances under which John a trader would have to transport his wares by air. (4marks)

- (a)
- (b)
- (c)
- (c)

19. State four limitations of using mobile phones as a means of communication.

(4marks)

- (a)
- (b)
- (c)
- (c)

20. Outline four circumstances under which an insurance may fail to indemnify the insured.

(4marks)

- (a)
- (b)
- (c)
- (c)

21. Other than price mechanism, state four other methods of determining the price of a commodity. (4marks)

- (a)
- (b)
- (c)
- (c)

22. State four assumptions governing the existence of perfect competition market.

(4marks)

- (a)
- (b)

- (c)
 (c)
 23. Outline four circumstances under which a producer would opt to sell his goods directly to the consumer. (4marks)
 (a)
 (b)
 (c)
 (c)
 24. State four uses of national income statistics. (4marks)
 (a)
 (b)
 (c)
 (c)
 25. State four positive implications of a high population to an economy. (4marks)
 (a)
 (b)
 (c)
 (c)

PAPER 2

1. (a) State and explain five reasons for the continued existence of small scale firms in the economy despite the huge benefits associated with large production. (10marks)
 (b) Explain five circumstances under which a producer would need the services of intermediaries.
2. a) Explain **five** indicators of under development in Kenya. (10mks)
 (b) Most African countries experience low levels of national income. State and explain five factors that may be contributing to this scenario. (10marks)
3. (a) State and explain five sources of monopoly power. (10marks)
 (b) State and explain five unethical issues that may be witnessed in product promotion. (10marks)
4. (a) Give five differences between a public limited company and a public corporation. (10marks)
 (b) State and explain five factors that an organization would have to consider before a decision is made to acquire a certain office equipment. (10marks)
5. (a) Explain five reasons why Kenya has been unable to adequately exploit her natural resources. (10marks)
 (b) State and explain five circumstances under which a trader would use human portage to ferry his goods. (10marks)
6. (a) The following balances were extracted from the books of Musau traders as at 30.06.2013

Building	870,000
Debtors	36,520
Capital	947,000
Cash	74,000
Creditors	45,300
Stock	14,250
Bank overdraft	18,500
Cash at bank	16,000
Furniture and fittings	2,500
Drawings	6,000
Additional investments	4,000

 Required;
 (i) Prepare Musau traders trial balance as at 30.06.2013. (5marks)
 (ii) Musau traders balance sheet as at 30.06.2013. (5marks)
 (b) Explain five circumstances under which face to face communication may be ineffective. (10marks)

EXAM 6 PAPER 1

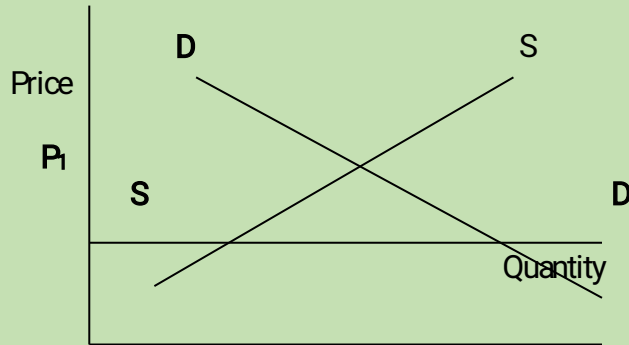
1. State **four** ways that may be employed by a business in order to achieve its objective of attaining profit. (4mrks)
 - (i)
 - (ii)
 - (iii)
 - (iv)
2. Outline **four** measures that the Kenya government can take to conserve forests which have great economic importance to the country. (4mrks)
 - (i)
 - (ii)
 - (iii)
 - (iv)
3. State **four** positive implications of high population growth rate in a country. (4mrks)
 - (i)
 - (ii)
 - (iii)
 - (iv)
4. Highlight **four** benefits associated with the use of containers in transportation today. (4mrks)
 - (i)
 - (ii)
 - (iii)
 - (iv)
5. State **four** ways in which the insurance industry promotes the growth of business enterprises. (4mrks)
 - (i)
 - (ii)
 - (iii)
 - (iv)
6. Highlight **four** benefits of National income statistics to a country. (4mrks)
 - (i)
 - (ii)
 - (iii)
 - (iv)
7. State **four** benefits that Kenya is likely to get from privatisation of its parastatals. (4mrks)
 - (i)
 - (ii)
 - (iii)
 - (iv)
8. Give **four** current trends in communication in Kenya. (4mrks)
 - (i)
 - (ii)
 - (iii)
 - (iv)
9. Outline **four** factors that may hinder development in a country. (4mrks)
 - (i)
 - (ii)
 - (iii)
 - (iv)
10. Highlight **four** characteristics of chain stores. (4mrks)
 - (i)
 - (ii)
 - (iii)
 - (iv)
11. State **four** disadvantages of an open office plan. (4mrks)
 - (i)

- (ii)
 (iii)
 (iv)

12. State **four** causes of demand –pull inflation. (4mrks)

- (i)
 (ii)
 (iii)
 (iv)

13. The following graph shows the price mechanism and effects of government intervention in business activities.



Highlight **four** effects of fixing the price at P_1 . (4mrks)

- (i)
 (ii)
 (iii)
 (iv)

14. State **four** reasons why a producer would not need a lot of warehousing space /facilities. (4mrks)

- (i)
 (ii)
 (iii)
 (iv)

15. State **four** reasons why a government may want to be involved in commercial activities. (4mrks)

- (i)
 (ii)
 (iii)
 (iv)

16. Outline **four** problems that are encountered when computing the consumer price Index. (4mrks)

- (i)
 (ii)
 (iii)
 (iv)

17. The following information was provided by Kakamega Stores for the year ended 30/6/2010.

		Ksh.
Sales	_____	800,000
Opening stock	_____	100,000
Purchases	_____	600,000
Margin	_____	25%

Prepare the trading account for the above business. (4mrks)

18. The following balances of assets and liabilities were provided by Tikolo traders as at 31/12/01

	Shs.
Bank overdraft	80,000

Land	200,000
Accrued Electricity	50,000
Stock	10,000
Debtors	20,000

The business had drawings amounting to sh. 20,000 during the year. Prepare a balance sheet to determine the networth of the business at the start of the trading year. (4mrks)

19. Give **four** roles of the central bank in the development of the economy. (4mrks)
- (i)
- (ii)
- (iii)
- (iv)
20. State **four** ways that a business should do to maintain acceptable ethics. (4mrks)
- (i)
- (ii)
- (iii)
- (iv)
21. Outline **four** features of perfect competition market. (4mrks)
- (i)
- (ii)
- (iii)
- (iv)
22. Complete the table below by indicating the relevant account to be debited and credited. (4mrks)

	Transaction	A/c debted	A/c credited
(i)	A debtor paid by cheque		
(ii)	Bought goods on credit		
(iii)	Deposited cash into the bank		
(iv)	Paid cash to a creditor		

23. Mention **four** components that constitute external environment of a business. (4mrks)
- (i).....
- (ii).....
- (iii).....
- (iv).....
24. Highlight **four** ways in which business may improve the productivity of its human resources. (4mrks)
- (i).....
- (ii).....
- (iii).....
- (iv).....
25. State **four** disadvantages of ATM (Automatic Teller Machine). (4mrks)

PAPER 2

1. (a) Explain **five** circumstances under which a firm would deploy salesmen to sell its products in a market (10mrks)
- (b) Explain **five** circumstances under which a public limited company may be dissolved (10mrks)

2. (a) Describe **five** characteristics of money as a medium of exchange (10mks)
 (b) Outline **five** difference between an open plan and partitioned office layouts (10mks)
3. (a) Explain **five** benefits of export processing zones (EPZ) to Kenya's economy (10mks)
 (b) The following balances were obtained from the books of KISA Traders as at 31-12-2009

Bank loan	30,000
Premises	600,000
Furniture	125,000
Closing stock	40,000
Drawings	6,000
Creditors	27,000
Debtors	16, 000
Bank overdraft	13,000
Net profit	15,000
Cash at hand	10,000

Required:

- (i) Prepare his balance sheet
 (ii) Calculate –capital employed

Working capital

4. (a) Discuss **five** factors influencing the aggregate demand of products in an economy (10mks)
 (b) Highlight **five** reasons why a manufacturer will prefer to build his own warehouse rather than a public warehouse. (10mks)
5. (a) Mwanahawa has just won Sh. 6 million in a local prize winning competition organized by a local firm. Explain **five** factors that will influence his decision on goods to produce. (10mks)
6. (a) Most urban centres in Kenya have supermarkets that have been opened in the recent past. Explain **five** benefits that will accrue to a consumer who buys goods from a supermarket. (10mks)

(b) The following invoice relates to business of SUKARI Traders

INVOICE

No.140

SUKARI TRADERS

P.O BOX 41

INGO

DATE 1-4-04

TO

KIKO TRADERS

P.O BOX 51

KWETU

ITEM	QUANTITY	DESCRIPTION	RATE	AMOUNT
1	20	Cement	800	16,000
2	5	Sugar	5000	25000
3	70	Flour	1000	<u>70,000</u>
				111,000
		Less 30%		<u>33,300</u>
		Trade discount		<u>77,700</u>

Terms 10/20 days 3/30 days

E & OE

Kiko Traders paid Sukari traders by cheque all the money due less discount on 15/4/2004

Required

Open the ledger accounts of **SUKARI** Traders and balance them as at 15-4-2004

EXAM 7

PAPER 1

1. Mr. Ndegwa started an electronic business on 1st April 2011. Two years later his business collapsed. Highlight **four** reasons that may have led to his business failure. (4 Marks)

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2. State **four** duties of customs officials in the bonded warehouses. (4 Marks)

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3. Outline **four** disadvantages of Automatic vending machines. (4 Marks)

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4. Highlight **four** factors that may influence a shift in supply curve to the left. (4 Marks)

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5. State the effect of the following transactions on the capital indicating either "Increase", "Decrease", or "No effect"

Transaction	Effect on capital
a. Jan 12- owner converted personal property to business property	
b. Received a Cheque for Kshs 15,000 being amount borrowed from a lending institution	
c. Business made a profit of Kshs 100,000	
d. Owner took cash Kshs 7000 from business for own personal use	

6. Outline **four** circumstances under which a co-operative society may be dissolved. (4 Marks)

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7. State **four** disadvantages of written communications. (4 Marks)

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8. Outline **four** challenges of young population. (4 Marks)

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9. Highlight **four** roles played by stock exchange market in the economy. (4 Marks)

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10. Outline **four** roles of filing in an office. (4 Marks)

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11. In the course of preparing her Balance sheet as at 31st December 2014, Joyce found that she had capital amounting to Kshs 240,000 in her business. During the year, investments totaled to Kshs 100,000 while drawings were Kshs 112,000. Calculate her initial capital as at 1st January 2014 if the profit was Kshs 76,000 (5 Marks)

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12. State **four** disadvantages of Railway Transport. (4 Marks)

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13. Outline **four** ways in which the utility of a commodity can be increased. (4 Marks)

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14. State **four** advantages of a business letter. (4 Marks)

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15. Highlight **four** reasons why direct production is so common in Kenya.

(4 Marks)

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16. Identify the type of office machine/equipment from the following descriptions.

Description	Office Machine/Equipment
a) Used for cutting unwanted papers into tiny pieces to destroy them	
b) Used for trimming papers to the required sizes.	
c) Used for printing postage impressions on envelops	
d) Used to make holes in papers to facilitate filing	

17. Outline **four** factors to be considered when selecting a means of reproducing documents. (4 Marks)

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18. State **four** difficulties faced in the satisfaction of human wants.

(4 Marks)

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19. Highlight **four** circumstances under which a trader would hire office machine instead of purchasing one.

(4 Marks)

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20. The following balances were extracted from the ledger account in the books of Amina Traders as at 30th June 2011.

	Shs
Returns inwards	2000
Carriage outwards	1500
Discount received	2500
Purchases	30,000
Peter (Debtor)	15,000
Capital	40,000
Loan from Bank	12,000
Drawings	6,000

Prepare a trial balance as at 30th June 2011.

(4 Marks)

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21. Outline **four** ways in which a firm may acquire monopoly power.

(4 Marks)

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22. Outline **four** methods that can be used to determine the price of a product.

(4 Marks)

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23. Outline **four** advantages of delocalization.

(4 Marks)

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24. State **four** factors influencing the choice of distribution channel.

(4 Marks)

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25. Outline **two** factors that may influence an increase in the level of national income.

(4 Marks)

PAPER 2

1. a) Explain **five** circumstances under which a pro-forma invoice may be used. (10 marks)

b) Explain **five** ways in which the size of a firm may be determined. (10 marks)

2. a) Explain **five** circumstances under which face to face conversation would be preferred by a firm for Communication. (10 marks)

b) The following information was extracted from the books of Meru Traders as at 10th January 2015.

	Kshs
Capital	600,000
Motor Vehicle	400,000
Creditors	400,000
Stock	120,000
Bank overdraft	300,000
Debtors	240,000
Cash	540,000

The following transactions took place during the month.

- Bought stock for cash Kshs 36,000
- Paid Kshs 26,000 cash to creditors
- Used his personal cash Kshs 47,000 to buy equipment for the business
- Received Kshs 80,000 from the debtors and deposited it into the bank.

Prepare Meru Traders Balance sheet as at 31st January 2015.

(10 marks)

3. a) Explain **five** ways in which the government may promote local trade. (10 marks)

b) Explain **five** causes of unemployment. (10 marks)

4. a) Explain **five** measures that can be used by an office to safeguard and control the property of the organization. (10 marks)

b) Explain **five** ways in which the "nature of the product" will influence the choice of appropriate means of transport. (10 marks)

5. a) Using a diagram explain the effect of increase in demand for a commodity on market equilibrium when its supply remains constant. (12 marks)

b) Explain **four** circumstances under which a firm will be located near the market for its products. (8 marks)

6. a) Explain **five** factors that determine the premiums charged for an insurance policy. (10 marks)

b) Juma is a retail trader and would like to increase his sales volume by selling some of his goods on credit. Explain **five** factors to consider before selling goods on credit. (10 marks)

EXAM 8

PAPER 1

1.State four ways in which office documents can be reproduced.

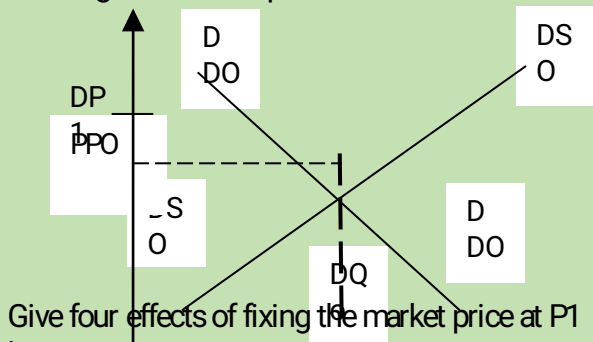
(4 marks)

- i
-
- ii
-
- iii
-
- iv
-

2. State four factors that may limit the efficiency of co-operative societies in delivering services to their members. (4 marks)

- i
- ii
- iii
- iv

3. The diagram below represents the demand and supply curve of a commodity.



- i
- ii
- iii
- iv

4. Outline four reasons that would influence a local manufacturer to distribute his goods through wholesalers. (4 marks)

- i
- ii
- iii
- iv

5. State four limitations of using billboards in product promotion. (4 marks)

- i
- ii
- iii
- iv

6. Outline four uses of national income statistics to the government. (4 marks)

- i
- ii
- iii
- iv

7. Outline four external business environment that may negatively affect performance of the business. (4 marks)
- i
 - ii
 - iii
 - iv
8. Highlight four causes of business opportunity. (4marks)
- i
 - ii
 - iii
 - iv
9. State four features of an efficient transport system. (4 marks)
- i
 - ii
 - iii
 - iv
10. Enter the following transactions in the relevant ledger accounts of Maithya Traders for the month of April 2012. (4 marks)
- April 3 – Purchased goods on credit from Tumaini Wholesalers for KSh. 50,000
 4 – Withdrew KSh. 20,000 from bank for office use.
 5 – Purchased stationery for KSh. 1000 in cash.
 6 – Paid Tumaini Wholesalers KSh. 3000 by cheque.
-

11. Indicate in the space provided the type of warehouse that relate to the following descriptions.(4 marks)
- (a) Used to store locally produced goods until excise duty is paid.

 - (b) Used to store non-durable goods originating from within or outside the country

 - (c) Warehouse designed to suit one's particular needs.

 - (d) Warehouse mostly situated at entry points and available at a fee.

12. Identify four benefits of optimum population in a country. (4 marks)
- i

-
- ii
.....
- iii
.....
- iv

13. On 30/6/2005 Odhiambo Enterprises had a capital of KSh. 600,000. During the year Odhiamborealised a net profit of KSh. 80,000, drawings of KSh. 20,000 and converted his vehicle worth KSh. 150,000 into a business van. Determine Odhiambo's capital as at 1/7/2004. (5 marks)

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.....
.....

14. State four ways in which manufacturing business may avoid pollution. (4 marks)

- i
.....
- ii
.....
- iii
.....
- iv
.....

15. Outline four benefits a business person would get from using a cellphone (mobile phone) (4 marks)

- i
.....
- ii
.....
- iii
.....
- iv

16. Highlight four benefits of hire purchase to a buyer. (4 marks)

- i
.....
- ii
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- iii
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- iv
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17. Hair salons are usually found in urban areas. State four reasons that may account for the choice of location. (4 marks)

- i
.....
- ii
.....
- iii
.....
- iv
.....

18. Name four leakages from the circular flow of income in a two sector economy. (4 marks)

- i
.....
- ii

.....
iii

.....
iv

19. The following information relates to Mulwa Traders as 30th June 2011.

(4 marks)

Capital	96,600
Debtors	29,520
Creditors	24,670
Motor vehicle	79,000
Cash	11,250
Stock	1500
PrareMulwa's trial balance.	

20. State four reasons why consumers have to make a choice between competing needs.

(4 marks)

- i
- ii
- iii
- iv

21. Give four circumstances under which a person could use signals to communicate with another.(4 marks)

- i
- ii
- iii
- iv

22. State four benefits that may accrue to a community that engage in indirect production. (4 marks)

- i
- ii
- iii
- iv

23. Distinguish between monopolistic competition and oligopolistic market. (4 marks)

Monopolistic market	Oligopolistic market

24. Outline four characteristics of debentures as a source of finance for a company. (4 marks)

- i
- ii
- iii
- iv

25. Write the following accounts as either nominal, real or personal account. (4 marks)

Account	Class
Building	
Rent owing	
Rent	
Loan	

PAPER 2

1.(a) Highlight five differences between public limited companies and partnership form of business.

(10 marks)

(b) Explain five reasons why a country would like to know the structure of its population. (10 marks)

2. (a) Discuss five micro environmental factors that may lead to a business failure. (10 marks)

(b) Mwendwa had the following balances on 1.11.2002; cash Sh. 10,000, bank Sh. 150,000. The following transactions took place during the month.

Nov. 2 Cash purchases Sh. 2000

3 Credit sales to Mwikali Sh. 4000

4 Bought buildings paying by cheque Sh. 50,000

8 Paid wages by cash Sh. 500

9 Paid in cash; Postage Sh. 50, Insurance Sh. 150 and rent Sh. 400

12 Received a cheque from Kaluki, a debtor Sh. 200

15 Drew Sh. 4000 from the bank for office use.

18 Mwendwa took cash Sh. 1000 for his personal use

24 Credit purchase from Kimeu Sh. 2500

29 Took all the cash to the bank except Sh. 100
Prepare a two column cash book and balance it off.

(10marks)

3. (a) Explain five reasons behind privatization of some of public corporations by the government. (10 marks)
(b) Highlight five trends in office management. (10 marks)
4. (a) Explain six circumstances under which written communication would be appropriate in communication. (12 marks)
(b) Explain four problems that may be faced by consumers when a long channel of distribution is used. (8 marks)
5. (a) Explain five disadvantages of hypermarkets to customers. (10 marks)
(b) By the use of diagram, explain the effect of a shift of a supply curve to the left on equilibrium price and quantity. (10 marks)
6. (a) Explain five factors that may contribute to a decline in national income in a country. (10 marks)
(b) The following balances were extracted from the books of Wanjohi Traders on 1st January 2010
- | | |
|--------------|---------|
| Capital | 300,000 |
| Cash | 120,000 |
| Stock | 30,000 |
| Furniture | 100,000 |
| Delivery van | 100,000 |
| Creditors | 90,000 |
| Debtors | 40,000 |
- The following transactions took place during the year ending 31st December 2010.
- (i) Purchased goods worth KSh. 50,000 for which cash of KSh. 35,000 was paid and the balance was still outstanding at the end of the year.
- (ii) Sold furniture worth KSh. 30,000 for which KSh. 20,000 cash was received and the balance was due at the end of the year.
- (iii) Cash KSh. 5000 was taken from the business by the owner to settle the wife's hospital bill.
- Draw Wanjohi Traders balance sheet as at 31st December 2010 showing the items in their relevant classes. (10 marks)

EXAM 9 PAPER 1

1. Outline **four** advantages of personal selling as a method of product promotion (4mks)
(i).....
(ii).....
(iii).....
(iv).....
2. Briefly define the following terms as used in transport (4mks)
(a) mode of transport
(b) means of transport
(c) method of propulsion
(d) terminal
3. Identify **four** sources from which business ideas can be generated (4mks)
(i).....
(ii).....
(iii).....
(iv).....

4. Outline **four** features of economic resources (4mks)

- (i).....
(ii).....
(iii).....
(iv).....

5. State **four** types of business activities (4mks)

- (i).....
(ii).....
(iii).....
(iv).....

6. Listed below are various forms of production. For each form of production indicate using a tick (✓) the correct classification in the appropriate column (4mks)

Form of production	Primary	secondary	Tertiary
Transportation			
Farming			
Lumbering			
House building			

7. Give **four** reasons why an entrepreneur needs to prepare a business plan (4mks)

- (i).....
(ii).....
(iii).....
(iv).....

8. State **four** advantages of using the internet as a means of communication (4mks)

- (i).....
(ii).....
(iii).....
(iv).....

9. Outline **four** ways in which individual consumers may protect themselves against exploitation by unscrupulous business persons (4mks)

- (i).....
(ii).....
(iii).....
(iv).....

10. Using the balance sheet equation, calculate the missing figures represented by A,B,C and D in the table below. (4mks)

	Capital (Ksh)	Liabilities (Ksh)	Assets (Ksh)
(i)	A	2192	19840
(ii)	27923	B	100920
(iii)	130,000	275300	C
(iv)	D	210560	475120

11. Outline **four** negative effects of a youthful population to an economy (4mks)

- (i).....
(ii).....
(iii).....
(iv).....

12. Highlight **four** circumstances underwhich a producer would not need a lot of warehousing space or facilities (4mks)
- (i).....
- (ii).....
- (iii).....
- (iv).....
13. Outline **four** disadvantages of public limited companies (4mks)
- (i).....
- (ii).....
- (iii).....
- (iv).....
14. State **four** advantages of an open office layout (4mks)
- (i).....
- (ii).....
- (iii).....
- (iv).....
15. Highlight **four** importance of a national income statistics to a country. (4mks)
- (i).....
- (ii).....
- (iii).....
- (iv).....
16. Outline **four** features of life assurance (4mks)
- (i).....
- (ii).....
- (iii).....
- (iv).....
17. Highlight **four** characteristics of an oligopolistic market structure (4mks)
- (i).....
- (ii).....
- (iii).....
- (iv).....
18. The following relates to Jaba business for the year ended 31-12-2012
- | | |
|--------------------------------------|-----------|
| Capital as at 31-12-2012 | Sh.85,000 |
| Drawings for the year | Sh.13,000 |
| Net loss for the year | Sh.6000 |
| Extra capital introduced in the year | Sh.33,000 |
- Required:** Determine his capital on 1-1-2012 (4mks)

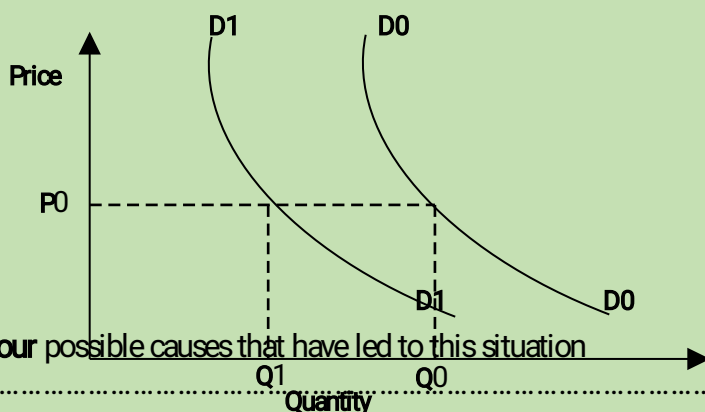
19. State **four** factors that may influence a firms decision on what to produce (4mks)
- (i).....

- (ii).....
 (iii).....
 (iv).....

20. The following are some of the documents used in home trade. Cash sale receipts catalogue, invoice and statement of account. Match each document with the appropriate description provided in the table below.

Description	Document
(a) Shows details of goods offered	
(b) Give quantity, unit price and total amount to be paid	
(c) Show transactions since the date of last statement	
(d) Shows description of goods bought, prices and total amount paid	

21. The figure below shows a shift in demand for a commodity from D_0D_0 to D_1D_1 (4mks)



- (i).....
 (ii).....
 (iii).....
 (iv).....

22. Outline **four** factors to consider when choosing a distributing channel (4mks)

- (i).....
 (ii).....
 (iii).....
 (iv).....

23. State **four** social responsibilities that Muhoroni Sugar Company should have on the community (4mks)

- (i).....
 (ii).....
 (iii).....
 (iv).....

24. Give **four** reasons why one would prefer a letter to a telephone to send a message (4mks)

- (i).....
 (ii).....
 (iii).....
 (iv).....

25. Outline **four** unethical practices in product promotion (4mks)

- (i).....
 (ii).....
 (iii).....
 (iv).....

PAPER 2

1. (a) Outline **four** circumstances under which a seller would require a buyer to effect payment under cash with order (CWO) terms (8mks)
 (b) Explain **six** external factors that may affect business operations (12mks)

2. (a) Describe **five** factors which may encourage localization of firms (10mks)
(b) Explain **five** disadvantages of containerization as a method of transporting goods (10mks)
3. (a) Explain **five** reasons that justify the involvement of government in business activities (10mks)
(b) The following transactions were extracted from Singo Enterprises during the month of July 2013

2013

July 1: started business with cash sh.40,000
12: bought goods in cash sh. 5,000
17: bought a typewriter worth sh.10,000 cash
30: sold goods on credit to Awasi Traders sh.500

Required

Enter the above transactions in the relevant ledger accounts and balance them off (10mks)

4. (a) Using a well labeled diagram, illustrate the effect of an increase in demand on equilibrium price and quantity (10mks)
(b) Explain **five** benefits that a society derives from engaging in indirect production (10mks)
5. (a) Outline **five** features that distinguish a public corporation from a cooperative society (10mks)
(b) Highlight **five** factors which an Entrepreneur should consider when evaluating a viable business opportunity (10mks)
6. a) Explain **four** principles of Insurance (8mks)
(b) On January 2012, the cash book of Kibigori Traders showed a cash and bank balances of sh 3,000 and sh 150,000 respectively. During the month, the following transactions took place:
Jan 2: Cash sales sh.12,500
10: Received a cheque for sh.25,000 from Koru Traders, a debtor
15: Paid sh.1,200 cash in respect of wages
25: Withdraw sh. 18,000 from bank for office use
28: Paid sh.14,200, a creditor, by cheque
29: Banked all cash except sh. 5,000

Required

Prepare a two-column cash book for the month, duly balanced (12mks)

EXAM 10

1. State **four** business activities arrived at product promotion other than sales promotion. (4mks)
 - a)
 - b)
 - c)
 - d)
2. Highlight the characteristics of the non-incorporated business organizations. (4mks)
 - a)
 - b)
 - c)
 - d)
3. Commodities can broadly be divided into Goods and Services that have utility for satisfaction. Outline the characteristics of services. (4mks)
 - a)

- b)
- c)
- d)

4. The following details relate to miss Omollo's business for the year ended 31st December, 2012

Return outwards	2,000
Purchases	103,000
Opening Stock	7,000
Closing Stock	5,000
Gross profit	22,000

Required: Prepare the Trading Account (5mk)

5. Describe **four** circumstances in which it would be found convenient for a manufacturer to sale his products direct to the consumer, and not through middlemen. (4mks)

- a)
- b)
- c)
- d)

6. State **four** adjustments usually made in the income statistics of a country while trying to get a correct national income value. (4mks)

- a)
- b)
- c)
- d)

7. Identify **four** possible sources of finance to Siaya County government. (4mks)

- a)
- b)
- c)
- d)

8. The new leadership in Kenya feels its advantageous to raise the retirement age from 55 years to 60 years of age. State the demerits of this policy. (4mks)

- a)
- b)

- c)
 d)

9. Sign language is used in communication. Outline four circumstances in which it is found to be most appropriate. (4mks)

- a)
 b)
 c)
 d)

10. The following statement describe characteristics of particular retail types. I identify the retail type whose characteristic is described in each case. (4mks)

- (a) Has no shop in her business premises
 (b) A customer serves herself undisturbed.
 (c) Hawkers and Peddlers who move from phase
 to phase in satch for customers
 (d) A big building with many shops in it, all
 belonging to different entrepreneurs

11. State **four** steps the Government could take to boost the Kenyan entrepreneurial factors involvement in business activities. (4mks)

- a)
 b)
 c)
 d)

12. Describe **four** ways in which nature of goods would influence the choice of transport made. (4mks)

- a)
 b)
 c)
 d)

13. Give **four** distinctions between perfect competition and Duopoly market conditions. (4mks)

Perfect competition

Duopoly

(i)

(ii)

(iii)

(iv)

14. Ajuma had the following balances in his business records as on 31st. January , 2013.

Capital	130,000
Stock	110,000
Creditors	10,000
Prepayments	30,000

The following transactions took place during January,2013

5th January - He sold worth shs 50,000 for cash shs 80,000

18th January - Ajuma converted his family land shs. 4000,000 and motor van
shs 320,000 into business use

29th January - Owner took cahs Shs. 7,000 and stock shs. 13,000 to celebrate son's birthday

Required: Prepare the balance sheet

(5mks)

15. Nyabera city is endowed with a well developed business environment. Outline the economics of such a business entity in Nyabera stands to enjoy. (4mks)
- a)
b)
c)
d)
16. Devolution decentralizes government operations from the central government to the regional governments. Highlight the merits of devolution policy in a county. (4mks)
- a)
b)
c)
d)
17. Joseph and Dorice are employees of the same business Organisation. State four factors that could make Joseph earn higher wage than Dorice (4mks)
- a)
b)
c)
d)
18. Brain Uses only one ledger, the General ledger in his business. On 1st October, 2013 he purchased stock from Mary worth shs. 100,000, Receiving Shs. 1,000 Trade discount and 10% cash discount. He paid shs 50,000 in cash and Shs 20,000 by cheque on the spot.
- Open the relevant ledger accounts and record the transaction. (balancing off is not required) (5mks)

19. State the first **four** procedure involved in the formation of a private joint stock company. (4mks)

- a)
- b)
- c)
- d)

20. Outline **four** characteristics of life assurance contract. (4mks)

- a)
- b)
- c)
- d)

21. Price Mechanism is a major method used to determine commodity prices. Identify any other **four** price determining methods. (4mks)

- a)
- b)
- c)
- d)

22. Sally had cash balance of Shs. 22,000 cash in hand and Shs. 80,000 at bank on 1st. January, 2013. She deposited shs. 20,000 to the bank account 6th January, 2013.

Required: Prepare the Cash – book (3mks)

23. State **four** circumstance under which cash payment terms would be preferred by a seller in a market situation. (4mks)

- a)
- b)
- c)
- d)

24. A healthy business environment is essential for business success. Describe four government activities used to improve the business environment in Kenya. (4mks)

- a)
- b)
- c)
- d)

25. Wafula made the following transaction during the Month of October, 2001

- | | | | |
|------|------------------|---|--|
| Oct. | 1 st | - | sold stock worth Shs.16,000 on credit to samba Hotel, invoice number 0067. |
| | 5 th | - | Sold an Old office machine valued at Shs. 89,000 to Yala garments
co-invoice number 0068. |
| | 11 th | - | Sold stock for cash Shs. 10,000 to Mr. Kamau |
| | 15 th | - | Credit sales of Shs. 54,000 to Bore Tailors |

Required: Prepare Wafula's sales journal

PAPER 2

- 1. (a) Explain **five** functions of the Nairobi Stock exchange. (10mks)
(b) Highlight the various functions of the office. (10mks)
- 2. (a) Discuss **five** factors an organization should have in mind when selecting a means of communication (10mks)
(b) A county suffers a low level of income status. Explain the, main conditions likely to have caused this problem (10mks)
- 3. (a) Outline **five** principle of co-operative management. (10mks)
(b) Miss. Onyino had the following sources in her records on 1st

June, 2010	
Buildings	120,000
Bank	65,000

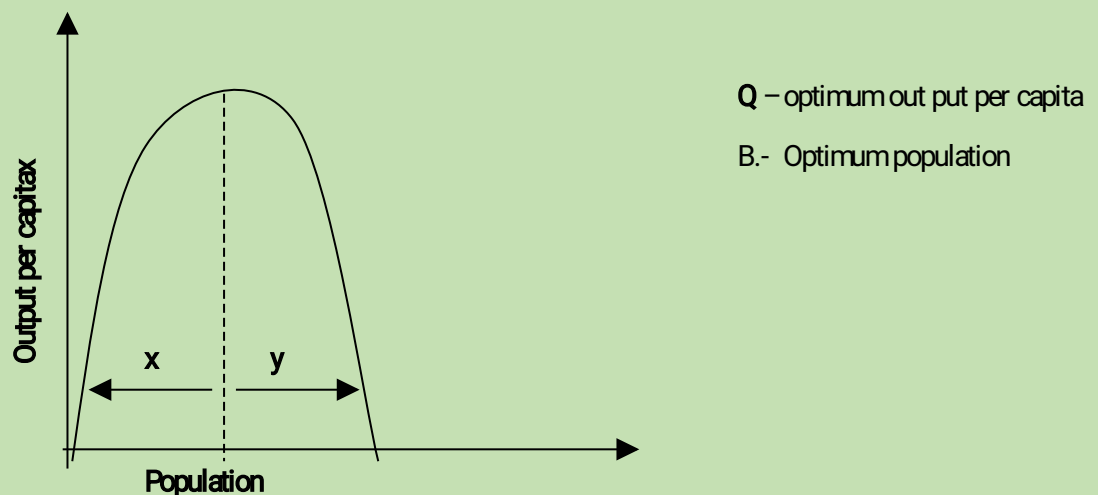
Creditors	20,000
Net profit	15,000
Stock	45,000

The following transactions took place in the month of June, 2010:-

- June, 3rd - sold goods worth shs. 30,000 for Shs 45,000, receiving shs 27,000 in cash and the balance by cheque.
- June, 10th - Miss Onyino took stock worth shs, 4,000 and cash shs. 6,000 for family use.
- June, 27th - She brought motor van valued at Shs. 50,000 and stock she had in her house worth shs. 2,000 in to business use.

Required Prepare the balance sheet as at 30th June, 2010. (10mks)

4. (a) Siaya county government wants to enhance entrepreneurship development in the region. Outline **five** strategies that could be put in place to achieve this. (10mks)
- (b) Explain **five** disadvantages associated with payments made by cheques. (10mks)
5. (a) Highlight **five** essentials of a good warehouse. (10mks)
- (b) The diagram below represents the population and output per capita of a certain country. Explain any **five** challenges to the county if her total population is in the status marked Y in the diagram. (10mks)



- 6 (a) Outline **four** circumstances that could legally terminate an insurance contact. (8mks)

(b) A wino started her retail business on 1st. October, 2013 with shs 40,000 cash in hand and Kshs. 120,000 cash at bank that she recorded in her two column cash book. She had the following transactions in the Month of October.

- Oct. 3rd - She purchased stock shs. 19,000 from Njenga and paid in cash.
- Oct 6th - Sold Stock Shs. 12,000 for Cash
- Oct 13th - Purchased stock worth Shs. 32,000 and paid Shs. 6,000
- Oct 14th - Banked all the cash and left a balance of

Shs. 2,000 in the office.

You are required to open up the relevant ledger accounts to enter the transactions, balance off and hence extract a trial balance as on

1st October, 2013

(12mks)

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